

First, disruptive products are simpler and cheaper; they generally promise lower margins, not greater profits. Second, disruptive technologies typically are first commercialized in emerging or insignificant markets. And third, leading firms' most profitable customers generally don't want, and indeed initially can't use, products based on disruptive technologies.¹

Pursuing a product line in the new market is not additive to the incumbent's existing business because, as Christensen explains, disruptive products have lower margins, smaller markets, and target a customer base with whom the company is not familiar. Sometimes the new product line can even be subtractive from the company's existing business line—known as cannibalization—because it is superior to other products it already offers, and so customers start buying the new product as opposed to the more lucrative (for the company) older product. However, avoiding the new technology because of a fear of cannibalization can be the kiss of death. As Christensen points out,

The fear of cannibalizing sales of existing products is often cited as a reason why established firms delay the introduction of new technologies... . But in disruptive situations, action must be taken before careful plans are made. Because much less can be known about what markets need or how large they can become, plans must serve a very different purpose: They must be plans for learning rather than plans for implementation.

Hence, the incumbent that avoids developing products that utilize the new technology may be maximizing short-term revenue, but is shooting itself in the foot over the long term. As Christensen notes, in the early stages of a disruptive technology, it is most important that the company learn and experiment. If the company doesn't experiment early on, then by the time the technology is inflecting in its growth—with a